

Fifth Supplement to Confidential Private Placement Memorandum

EnCap Energy Capital Fund XII, L.P.

EnCap Energy Capital Fund XII, L.P.

Fifth Supplement to Confidential Private Placement Memorandum

February 29, 2024

The information set forth herein (the “**Supplement**”) supplements, modifies and amends the Confidential Private Placement Memorandum, dated February 28, 2023 (as amended, the “**Memorandum**”), of EnCap Energy Capital Fund XII, L.P. (the “**Partnership**”). Any statement contained in the Memorandum shall be deemed to be modified or superseded for all purposes to the extent that a statement contained herein modifies or supersedes such statement. This Supplement updates the Memorandum solely with respect to the information set forth herein and does not purport to provide a comprehensive update. All other information provided in the Memorandum is current as of the dates provided therein. Capitalized terms used but not defined in this Supplement are used as defined in the Memorandum.

In addition to the Memorandum and this Supplement, prospective investors should review the Partnership Agreement. Any prospective investor that has previously submitted a Subscription Agreement need not reconfirm its subscription.

I. INVESTMENT PERFORMANCE UPDATES

EnCap has posted an updated Fund XII Overview, dated February 27, 2024, which includes updated performance data through December 31, 2023, to the EnCap Energy Capital Fund XII Intralinks Dataroom.

II. ORGANIZATION UPDATES

Jonathan Patrick, the former Controller of EnCap, has departed. Effective February 1, 2024, Cole Sanches takes on many of the Controller responsibilities, Katherine Cangelosi is the primary contact for certain treasury related items including capital calls and distributions, and Ben Bryson is primary contact for addressing investor financial reporting requests.

III. PORTFOLIO COMPANY UPDATES

The following summaries describe three unrealized portfolio investments of the Partnership made after December 2023 and Supplement No. 4.

Paloma Permian Holdings, LLC
(Fund XII Investment)

Company Description:

Paloma Permian Holdings, LLC (“**Paloma VII**”) is a privately held, Houston-based company led by Chris O’Sullivan (President), Mark Gabrisch (EVP, Land/Legal), Bobby Poirrier (EVP, CFO), Will Derrick (EVP, Business Development), and Andrew Keck (SVP, Land & GC). This new entity marks EnCap’s eighth partnership with management dating back to 1998. Paloma VII will seek to leverage its proven land and business development capabilities to aggregate a leasehold position in Eddy and Lea Counties, New Mexico through a combination of leasing, farm-ins, trades, and acquisitions. These capabilities were instrumental in the value creation stories of prior successful Paloma entities in the Barnett, Eagle Ford, Utica, Mid-Continent, and Haynesville. Similar to Paloma VII’s entry into the Delaware Basin, each of these prior plays were areas where the team did not have previous track records of building companies or deploying its ground game. Management will take a highly opportunistic approach in its business development efforts and will emphasize transactions that are either difficult in nature or require significant land efforts and creativity.

Transaction Summary:

Paloma VII was formed in January 2024 with a \$200.0 million total commitment, which includes \$190.0 million from Fund XII and \$10.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR and 1.0x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Seasoned management team with a proven track record across multiple EnCap-backed entities
- Excellent commercial and business development acumen that is critical for opportunity capture
- Management and EnCap have similar approaches to business strategy, capital allocation, and risk management
- EnCap controls the Board and approves all major decisions

Investment Performance:

- San Juan Partners was formed in January 1988 to acquire a controlling interest in Burlington Resources Coal Seam Gas Royalty Trust, a publicly traded entity. EnCap ultimately invested \$16 million in San Juan Partners and realized proceeds of \$28 million for Fund III.
- Paloma Barnett was formed in February 2007 and pursued a highly focused leasing and development strategy in the Barnett Shale. In February 2008, Paloma Barnett was sold to

Chesapeake Energy (NYSE: CHK) for \$225 million. The sale resulted in \$147 million of distributions on \$69 million invested for Fund VI.

- Paloma II was formed in November 2009 and originally pursued a leasing and development strategy in the Haynesville Shale. The Company pivoted to the condensate window of the Eagle Ford Shale given the team's belief it could accumulate a position in one of the most economic plays in the U.S. Paloma II captured approximately 17,000 net acres and drilled 10 Eagle Ford wells. In August 2012, Paloma II was sold to Marathon Oil Corporation (NYSE: MRO) for \$750 million, resulting in distributions of \$424 million on \$124 million invested for Fund VII.
- Paloma III was formed in August 2012 and pursued a similar leasing and development strategy with an emphasis on the dry gas window of the Utica Shale. Paloma III ultimately accumulated an attractive 23,750 net acre position and sold the properties to Gulfport Energy (NYSE: GPOR) for gross cash consideration of \$301 million in August 2015, resulting in distributions of \$108 million on \$51 million invested for each Fund VIII and IX.
- Paloma IV was formed in May 2014 to execute a leasing and development strategy. The company initially pursued a project in the Tuscaloosa Marine Shale before pivoting to the STACK play of Oklahoma's Anadarko Basin in late 2015. The company built its STACK acreage position with a combination of leasing, farmouts, small acquisitions, and the merger of two other Fund IX entities' upstream assets, Travis Peak Resources and Excalibur Resources, under Paloma IV in 2019. This investment was challenged in 2020 during the severe market downturn, but the team persevered through asset optimization, core inventory additions, and highly economic development. In December 2023, Paloma IV closed its sale to Mach Natural Resources (NYSE: MNR) for \$815 million in all-cash consideration. To date, the investment has distributed \$589.2 million on \$470.6 million invested for Fund IX. Small additional proceeds are expected to be received in 2024.
- Paloma V was formed in May 2020 to capitalize on distressed upstream opportunities. Unable to bridge the bid/ask gap in the market, the team pivoted to pursue the aggregation of renewable royalties. Over its short lifespan as a re-branded Paloma Solar & Wind, the company built an attractive portfolio but was unable to execute the strategy at sufficient scale with new competition. The Board elected to divest the entity to QIC for \$47 million, resulting in \$45 million of distributions on \$42 million of invested for Fund XI.
- PNG (Paloma VI) was formed in December 2021 in conjunction with the company's take-private transaction of Goodrich Petroleum Corporation (NYSE: GDP) for \$527 million including debt. PNG viewed GDP as an attractive entry into the Haynesville given GDP's positioning as a small, out-of-favor public entity with compelling inventory but limited access to capital. In 2022, PNG significantly ramped up activity to take advantage of highly favorable gas prices and subsequently halted all development activity in early 2023 when natural gas prices dramatically decreased. Since then, the company has limited development activity in light of challenging economics and has benefitted from its strong hedge book and avoiding material contractual obligations. Importantly, PNG has added an extensive amount of core inventory through its ground game efforts, which we believe will position the company for success when the gas market improves.

Novo Oil & Gas Holdings II, LLC

(Fund XII Investment)

Company Description:

Novo Oil & Gas Holdings II, LLC (“**Novo II**”) is a privately held, Oklahoma City-based independent upstream company. Novo II is led by John Zimmerman (CEO), Kurt Shipley (COO), Brandon Patrick (President & CCO), and David Avery (CFO), all returning members of the Novo I team. Novo II intends to focus its efforts in the Northern Delaware Basin where management will leverage existing relationships and recent operational success.

Transaction Summary:

Novo II was formed in February 2024 with a \$300.0 million commitment, which includes \$285.0 million from Fund XII and \$15.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving 95.0% of distributed cash until an 8.0% IRR and 1.10x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Opportunity to support a repeat, high-quality management team that has demonstrated their ability to identify, capture, and create value through various commodity price cycles
- Similar mindset with regards to risk management and capital allocation
- EnCap controls the Board and approves all major decisions

Investment Performance:

- Novo I was formed in September 2016 with a \$200.0 million common equity commitment (\$196.0 million from Fund X and \$4.0 million from Management). The Company initially pursued a project on the Central Basin Platform but soon pivoted to the Northern Delaware Basin in August 2017. Management had strong convictions in the subsurface merits of the area in Eddy County, NM and offset well results supported attractive development economics across multiple horizons. Novo I built a sizeable position through numerous acquisitions and trades and began to delineate the position in 2019 and commenced full field development in late 2020, capitalizing on a low service cost environment through the post-Covid downturn.
- In the spring of 2020, Novo I assumed operations of the Scala Energy (“Scala”) assets, another Fund X investment, which were ultimately merged into Novo I and added ~9,500 net acres in Culberson County, TX to the company.
- In August 2023, EnCap closed on the sale of Novo I’s operated leasehold position in the Delaware Basin to Earthstone Energy (now Permian Resources; NYSE: PR) and Northern Oil and Gas (NYSE: NOG) for an unadjusted purchase price of \$1.5 billion in cash. Including distributions from the company prior to closing, the investment has returned \$1.2 billion on \$491.3 million invested for Fund X. Novo I retained a significant portfolio of

royalty interests that were excluded from the sale and represent meaningful additional value.

- Novo II will initially focus its efforts in the Northern Delaware Basin. Throughout Novo I, management executed in tough regulatory situations in the NM potash area and worked well with offset operators to block up a core operated position through a combination of farm-ins, trades, and acquisitions. The Novo II strategy will be to aggregate acreage in a similar manner and management already has several ideas to build a position.

Pegasus Resources Holdings III

(Fund XII Investment)

Company Description:

Pegasus Resources Holding III (“**Pegasus III**”) is a privately held, Fort Worth-based company led by George Young Jr. (CEO), Will Rodgers (President), and Lynn Frank (CFO), primarily focused on the aggregation of mineral and royalty interests in the core of the Permian Basin. Pegasus III will utilize a data driven approach to selectively acquire net royalty acres (“**NRAs**”) in top-tier economic areas that have a high probability of being actively and densely developed within underwriting standards that achieve target returns. Management will pursue smaller ground transactions and larger acquisitions alike with a focus on risk-adjusted returns, as the team continues to see a constructive market for acquisitions. We believe Pegasus III represents a compelling opportunity for Fund XII to gain exposure to a proven Permian minerals aggregator and management team.

Mr. Young was formerly the CEO of Silverback Exploration (“Silverback I”), which sold its Delaware Basin assets to Centennial Resource Development for \$855 million in 2016 and ultimately generated \$916 million in proceeds on \$292 million invested equity for Fund IX.

Transaction Summary:

Pegasus III was formed in February 2024 with a \$200.0 million total commitment, which includes \$195.4 million from Fund XII and \$4.6 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until 8% IRR and 1.25x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain return targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Impressive team led by Mr. Young, who has a long track record including three prior EnCap entities
- Strong network of industry and royalty owner relationships to help source proprietary deal flow
- Management and EnCap have similar approaches to deal underwriting and technical evaluation
- EnCap controls the Board and approves all major decisions

Investment Performance:

- Pegasus I was formed in November 2017 and ultimately deployed \$568 million of equity (\$550 million net to Fund XI) to capture ~46,000 NRAs in the core of the Permian Basin. EnCap made the difficult but prudent decision to consolidate assets of Pegasus I, Fortis I-II-III, and Santa Elena I-IV-V to form EnCap Minerals in June 2021 under the management of the Pegasus team. EnCap Minerals’ ownership is shared amongst Fund IX (9.8%), Fund X (52.5%), and Fund XI (37.7%), with Pegasus I representing 34.7% of the consolidated entity. Since its inception, EnCap Minerals has realized 40-50% of all core Permian rig activity across its 125,000 NRA position and achieved significant production growth (currently ~30 Mboe/d). This activity has translated into ~\$1.2 billion of total distributions

since June 2021, with the portfolio still being largely undeveloped. Management expects continued growth in production and cash flow in the coming years.

- Pegasus II was formed in June 2021 and ultimately deployed \$218 million of equity to capture ~13,700 NRA in the core of the Permian Basin. Pegasus II's assets are heavily weighted towards the Delaware Basin, specifically in Eddy and Lea counties, New Mexico. The Company's assets are less mature than EnCap Minerals' but are well situated for future development and growth with high quality operators covering the bulk of Pegasus II's NRAs. With the formation of Pegasus III, we expect that Pegasus II will begin making meaningful distributions to Fund XI on an ongoing basis.